



Twelve questions to ask a lender before you sign

Ask these out loud, early, and write the answers down. None of them is rude, all of them are normal, and the ones a lender answers vaguely are the ones that cost money later.

1 What is the all-in rate, including fees?

Not the headline rate. The number after origination, points and anything else.

2 Is it fixed or floating, and against what index?

And what happens at the end of the fixed period.

3 What is the amortisation, and is there a balloon?

A twenty-five year amortisation on a five-year term is a refinance you have not planned yet.

4 What debt service coverage do you require?

And what happens if I fall below it for one quarter.

5 What is the loan-to-value or loan-to-cost limit?

And which one you are actually using.

6 What personal guarantee are you asking for?

Full, limited, or burning off at a milestone.

7 What are the prepayment terms?

Yield maintenance and defeasance are expensive words. Ask what leaving early costs.

8 What third-party reports do you require, and who orders them?

Appraisal, environmental, survey. These cost money before you know you have a loan.

9 What is your timeline from application to close?

Then ask what has made it slip on the last three deals.

10 What conditions are in the term sheet that are not in the rate?

Reserves, deposits, covenants, reporting.

11 Who makes the credit decision, and have they seen this yet?

A relationship manager who likes it is not an approval.

12 What would make you say no later?

The most useful question on the page. Ask it before you spend anything.

NESO does not arrange finance and does not take a fee from any lender. This is a list of questions, not advice about which loan to take.